

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)

IN-PERSON APPEARANCES: Department 13 is a fully open courtroom conducting in-person hearings on the days it has scheduled matters. The Court **strongly** encourages **in-person** appearances for any **contested** law-and-motion matter.

REMOTE APPEARANCES: Remote appearance is governed by Civil Local Rule 5 and General Local Rule 9. The Court uses **Microsoft Teams**. Please click on this link if you need to appear remotely, and then scroll down to click the link for Department 13:

https://www.scsccourt.org/general_info/ra_teams/video_hearings_teams.shtml.

The Court **strongly** encourages in-person appearance, but if appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not allowed absent exceptional circumstances. (Civil Local Rule 5.B.)

TELEPHONIC APPEARANCE IS PROHIBITED, unless the Court grants an exception. (Civil Local Rule 5.A.) CourtCall is no longer available.

RECORDING IS PROHIBITED: State and local court rules prohibit recording court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

COURT REPORTERS ARE NOT PROVIDED: If any party wishes to have a court reporter, the appropriate forms and process can be found here:

https://www.scsccourt.org/general_info/court_reporters.shtml.

SCHEDULING MOTION HEARINGS: Go to <https://reservations.scsccourt.org> or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri.) to reserve a hearing date for your motion *before* you file and serve it. You must then file your motion papers no more than five court days after reserving the hearing date, or else the date will be released to other cases.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	22CV398906	Marzieh Abdolyousefi et al vs Mojtaba Taiebat et al	Motion to Compel Production of Documents and Responses to Deposition Questions Ctrl Click (or scroll down) on Line 1 for tentative ruling.
LINE 2	22CV398906	Marzieh Abdolyousefi et al vs Mojtaba Taiebat et al	Motion to Quash Business Records Subpoenas Ctrl Click (or scroll down) on Line 1 for tentative ruling.
LINE 3	22CV398906	Marzieh Abdolyousefi et al vs Mojtaba Taiebat et al	Motion to Quash Business Records Subpoenas Ctrl Click (or scroll down) on Line 1 for tentative ruling.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 4	25CV455836	Alicia Gutierrez vs Forge-Vidovich Motel Limited Partnership	Motion to Compel Responses to Form Interrogatories - Employment, Set One Defendant has not opposed this motion. (See <i>Laguna Auto Body v. Farmers Is. Exchange</i> (1991) 231 Cal.App.3d 481, 489 [“[A]ppellants had ample opportunity to present their arguments and excuses to the trial court. Instead, they failed to file opposition to the motion to compel ... leading the trial court and us to presume they had no meritorious arguments.”].) The motion is GRANTED. Defendant shall serve complete, verified, code-compliant responses without objections to Plaintiff’s Form Interrogatories - Employment, Set One, within 15 days of the date of service of the final order. Defendant shall pay Plaintiff sanctions in the amount of \$1,512.50. (Code Civ. Proc., § 2030.290(c)) within 30 days of the date of service of the final order. Plaintiff shall prepare the final order within 10 days of the date of the hearing.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 5	25CV455836	Alicia Gutierrez vs Forge-Vidovich Motel Limited Partnership	Motion to Compel Responses to Special Interrogatories, Set One Defendant has not opposed this motion. (See <i>Laguna Auto Body v. Farmers Is. Exchange</i> (1991) 231 Cal.App.3d 481, 489 [“[A]ppellants had ample opportunity to present their arguments and excuses to the trial court. Instead, they failed to file opposition to the motion to compel ... leading the trial court and us to presume they had no meritorious arguments.”].) The motion is GRANTED. Defendant shall serve complete, verified, code-compliant responses without objections to Plaintiff’s Special Interrogatories, Set One, within 15 days of the date of service of the final order. Defendant shall pay Plaintiff sanctions in the amount of \$1,512.50. (Code Civ. Proc., § 2030.290(c)) within 30 days of the date of service of the final order. Plaintiff shall prepare the final order within 10 days of the date of the hearing.
LINE 6	22CV408952	WATCHPOINT LOGISTICS, INC. et al vs Daniel Osuna et al	Hearing: Other Ctrl Click (or scroll down) on Line 6 for tentative ruling.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 7	23CV427259	NGUYEN LE vs JOHN PHAM, MD et al	Hearing: Pro Hac Vice Counsel OFF CALENDAR at moving party's request.
LINE 8	24CV448116	Moses Veyu vs COVENANT CARE CALIFORNIA, LLC	Motion to Vacate Stipulation and Lift Stay Ctrl Click (or scroll down) on Line 8 for tentative ruling.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 9	24CV450420	SAFECO INSURANCE COMPANY OF AMERICA vs ISRAEL DELGADO	Motion: Set Aside and Vacate Dismissal Order Plaintiff moves to set aside the Court’s December 10, 2024 granting Plaintiff’s Dismissal Without Prejudice. Plaintiff explains that Plaintiff’s counsel’s office prematurely filed a Dismissal Without Prejudice in order to “do further research on the Defendant(s) involved in this matter, not realizing that the statute of limitations had run in this case.” Plaintiff’s counsel “attempted to pull the dismissal from being filed but this Court had already filed it on December 10, 2024.” Defendant has not opposed the motion. (See <i>Laguna Auto Body v. Farmers Is. Exchange</i> (1991) 231 Cal.App.3d 481, 489 [“[A]ppellants had ample opportunity to present their arguments and excuses to the trial court. Instead, they failed to file opposition ... leading the trial court and us to presume they had no meritorious arguments.”].) The Court finds Plaintiff has met the requirements for relief under Code Civ. Proc., § 473(b). The motion is GRANTED. The dismissal entered on December 10, 2024 is vacated and set aside. Plaintiff shall prepare the final order within 10 days of the date of the hearing. The matter shall be set for a further Case Management Conference on December 17, 2025 at 10:00 a.m. in Department 13. Plaintiff to give notice.

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 13
Honorable Daniel T. Nishigaya**

J. Long, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: August 20, 2025

TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.E.)**

LINE #	CASE #	CASE TITLE	RULING
9:01 a.m.			
LINE 1	19CV360975	<i>Sophie Shen v. Wei Xia et al</i>	Order of Examination OFF CALENDAR due to lack of service.

- oo0oo -

Calendar Line 1, 2 & 3

Case Name: *Marzieh Abdolyousefi et al vs Mojtaba Taiebat et al*
Case Number: 22CV398906

Defendant's Motions

Defendant seeks orders that the deposition of Plaintiff be resumed, that Plaintiff answer questions which she did not answer, and that Plaintiff produce certain documents sought in requests no. 23 and 24 of the deposition notice, namely (i) statements from Plaintiff's accounts at Bank of America for the period when the parties were in the relationship; and (ii) paystubs issued by Plaintiff's employers during the period when the parties were in the relationship. In addition, the Court is asked to impose a monetary sanction against Plaintiff and her counsel by ordering them to pay at least \$6,560 in fees and costs.

The Court is not persuaded by either party's arguments regarding procedural or evidentiary deficiencies. The factual and legal assertions in these unfortunate, ongoing discovery disputes between the parties are well known to each other and to the extent, *in this instance*, there may be irregularities, the Court sees no prejudice in reaching the merits.

As to the production of documents, the motion is GRANTED. To the Court, good cause for production is readily apparent. The full and complete Bank of America Records and the paystubs for the requested time period are directly related to Defendants allegations regarding the violation of the parties' financial agreements. Plaintiff is not entitled to make her own decisions regarding the relevance of information contained within the material or scope of the discovery by redacting information or omitting pages. Moreover, Plaintiff fails to justify any further objections to the disclosure, she has already produced piecemeal versions in response to the requests, and there is a protective order to alleviate any privacy issues. Any lingering concerns are thus outweighed by Defendant's right to discovery and the protections in place.

Accordingly, Plaintiff shall produce all remaining paystubs and all pages of all statements of Bank of America for the requested time period that are under her control in response to RFP 23 and 24. Also, a party to a civil action is required to produce, in response to a demand for production, documents "in the possession, custody, or control" of the party. (Code Civ. Proc. § 2031.010.) Documents that are not in a party's possession are nonetheless in the party's control if the party has a legal right to obtain the documents upon demand. Section 2031.010 is based on Rule 34 of the Federal Rules of Civil Procedure. (See 2 Witkin, Cal. Evid. 4th (2000) Discovery, § 118, p. 958). "Because of the similarity of California and federal discovery law, federal decisions have historically been considered persuasive absent contrary California decisions." (*Liberty Mutual Ins. Co. v. Superior Court* (1992) 10 Cal.App.4th 1282, 1288.) In the context of Rule 34, "control" is defined as the legal right to obtain documents upon demand. (See *In re Citric Acid Litigation* (9th Cir.1999) 191 F.3d 1090, 1107.)

Defendant's motion to compel further answers at deposition is GRANTED IN PART. Unless the objecting party demands the taking of the deposition be suspended to permit a motion for a protective order, "the deposition shall proceed subject to the objection." (*Stewart v. Colonial Western Agency, Inc.* (2001) 87 Cal.App.4th 1006, 1014; CCP § 2025.460(b). As Defendant argues, if Plaintiff believed that the questions were asked to harass or annoy, her

recourse was to suspend the deposition so that she could move for a protective order. Plaintiff did not do so and essentially concedes the point.

Therefore, Plaintiff is ordered to answer the specific deposition questions identified to the best of her ability, over objection if deemed appropriate. By objecting, Plaintiff's counsel preserves the objection for trial, at which the merits of the objection may be considered. However, it is an improper basis to instruct his client not to answer. Except as described below, the Court finds no substantial justification for Plaintiff's counsel to direct his client not to answer. Thus, Plaintiff is ordered to respond to the questions that are the subject of this motion when the deposition resumes, with the following exceptions:

QUESTION AT 10:17 – Objection sustained. Irrelevant and would only serve the purpose of annoying and harassing as explained in Plaintiff's declaration. The inquiry into whether Plaintiff transferred money to assist her parents, whether they were in need or not, does not require disclosure of their current place of residence.

QUESTION AT 73:24-25 – The witness answered the question and shall not be compelled to answer further.

QUESTION AT 114:9 - The witness answered the questions and shall not be compelled to answer further.

QUESTION AT 149:24-150:1 – The witness answered the question and shall not be compelled to answer further.

The court shall impose a monetary sanction against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel an answer or production, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (Code Civ. Proc., § 2025.480(j).) As explained above the Court finds no substantial justification or other circumstances to avoid the imposition of sanctions. Plaintiff and her counsel, jointly and severally, shall pay to Defendant \$6,500.00 in monetary sanctions within 15 days of service of the final order.

Plaintiff's Motions

Plaintiff seeks orders (1) quashing the Deposition Subpoenas for Production of Business Records served by Defendant on: SRI International, Automation Anywhere, Inc., eBay, Inc. and Amazon.com Services, LLC; and (2) awarding monetary sanctions in favor of Plaintiff and against Defendant and his attorney. Separately, Plaintiff seeks an order (1) quashing the Deposition Subpoenas for Production of Business Records served by Defendant on Xerox Corporation; and (2) awarding monetary sanctions in favor of Plaintiff and against Defendant and his attorney.

As discussed above, good cause for seeking these materials is readily apparent to the Court. There is a protective order in place to alleviate any privacy issues. There does not appear to be any dispute that these materials will be subject to the protective order. Nevertheless, the Court will order now that any materials acquired as a result of the subpoenas at issue shall be subject to the parties' stipulated protective order.

Plaintiff's motions to quash are DENIED. Plaintiff's requests for sanctions are DENIED.

Defendant's requests for sanctions are also DENIED. As Defendant has previously recognized, all three motions before the Court are based on the same set of facts and the parties make almost the same contentions. (Ex Parte Application, filed 2/24/2025, at p. 3.) The Court has already awarded sanctions against Plaintiff based on Defendant's motions to produce and compel.

The Court will prepare the final order.

- oo0oo -

Calendar Line 6

Case Name: *WATCHPOINT LOGISTICS, INC. et al vs Daniel Osuna et al*

Case Number: 22CV408952

Proposed Intervenor Colony Insurance Company (“Colony”), as a putative insurer of the Defendants, Daniel A. Osuna and OSD Construction, Inc. (“Defendants”) moves for an Order permitting Colony to intervene in this action and for an Order setting aside the entry of default taken against Defendants and vacating the default judgment against Defendants entered on January 13, 2025.

Despite the cases cited by the parties, the procedural particularities of Colony’s request remain, to this Court, somewhat unclear. As stated in *Western Heritage Ins. Co. v. Superior Court* (2011) 199 Cal.App.4th 1196 (*Western Heritage*), an insurer generally can “move to intervene prior to the entry of judgment, or move to set aside the default judgment if that judgment has already been entered.” (*Id.*, at pp. 1210-1211, emphasis added, citing *Reliance Ins. Co. v. Superior Court* (2000) 84 Cal.App.4th 383, 387 (“*Reliance*”).) Here, judgment has been entered and there are no other parties to the action between Plaintiff and Defendants. In a footnote, the Court in *Western Heritage* went on to say, “Clearly, if there are no other parties still litigating the action, an insurer cannot intervene in an action after a default judgment has been entered against its insured, as there will be no pending action in which to intervene. In contrast, if the action is still pending against a party which may be jointly liable with the defaulting insured, it is improper to enter judgment against the defaulting defendant while the action remains pending against the other defendant. (6 Witkin, Cal. Procedure (5th ed. 2008) Proceedings Without Trial, § 135(b), p. 573.) Thus, intervention would be possible.” (*Western Heritage*, *supra*, 199 Cal.App.4th at p. 1210 fn. 18.)

On the other hand, it has been recognized that “intervention is possible, if otherwise appropriate, at any time, even after judgment.” (*Mallick v. Superior Court* (1979) 89 Cal.App.3d 434, 437.) *Jade K. v. Viguri* (1989) 210 Cal.App.3d 1459 and *Nasongkhla v. Gonzalez* (1994) 29 Cal.App.4th supp. 1, (*Nasongkhla*) both involved intervention by an insurer for purposes of vacating a default judgment against the defendant, but those cases focused more on the merits of the motion to vacate the default judgment, not on the procedural propriety or timeliness of postjudgment intervention.

Ultimately, insurers have standing to move to set aside a default judgment against the insured. (*Clemmer v. Hartford Insurance Co.* (1978) 22 Cal.3d 865, 884–885. If such a motion is meritorious, then the insurer’s motion to intervene in the once again “pending” action is well-taken. Regardless of which motion is considered the chicken and which one the egg, Colony will not be precluded from making either.

As to Colony’s motion to vacate the default judgment, the Court finds Colony has satisfied both sections 473 and 473.5. Colony lacked actual notice of the lawsuit, and the Court is satisfied that the supporting declaration is neither conclusory nor lacking in credibility. Moreover, Colony exercised reasonable diligence under the circumstances. The undisputed fact that Defendants did not comply with their duty to cooperate under the Colony policy and did not notify Colony of the lawsuit resulted in a judgment taken through inadvertence or surprise.

Accordingly, the Court will vacate and set aside the Default Judgment entered against Defendants Daniel A. Osuna and OSD Construction, Inc. Colony's Motion to Vacate the Default Judgment is GRANTED.

Colony's motion to vacate the *entry* of default against Defendants Daniel A. Osuna and OSD Construction, Inc., is subject to a different analysis.

"An intervening insurer is *not* bound by a default taken against its insured. "It is an established principle of law that admissions implied from the default of one defendant ordinarily are not binding upon a codefendant who, by answering, expressly denies and places in issue the truth of the allegations thus admitted by the absent party.'" (*Taylor v. Socony Mobil Oil Co.* (1966) 242 Cal.App.2d 832, 834; see also *Morehouse v. Wanzo* (1968) 266 Cal.App.2d 846, 852–853 [an employer liable under respondeat superior "may take advantage of any favorable aspects of the judgment against the employee, but he is not bound by the issues resolved against the employee by the latter's default"].)

It makes no logical difference whether the nondefaulting codefendant was originally named as a defendant or joined the action, as in this case, by subsequent intervention. A party's default does not bind nondefaulting codefendants, even when the basis for the action against the codefendants is vicarious liability arising from the acts of the defaulting defendant. Thus, an insurer intervening in an action to pursue its own interests after its insured has defaulted is not required to move to vacate the insured's default as to itself; the insured's default simply has no effect on the insurer. To the extent the language in *Nasongkhla* impliedly states otherwise, we disagree and decline to follow it."

(*Western Heritage, supra*, 199 Cal.App.4th at p. 1211, emphasis original, footnote omitted.) Because the insured's default has no effect on the insurer, there is no basis upon which to vacate the entry of default as to Defendants. In fact, in this case, it is proffered that Defendant Osuna is deceased and OSD Construction, Inc. is suspended. Thus, setting aside the entry of default as to Defendants presents no reasonable likelihood of either defendant now answering. However, as explained in *Western Heritage*, if permitted to intervene, Colony may still seek to pursue its own interests.

Based on the foregoing, Colony's Motion to Vacate the Entry of Default against Defendants Daniel A. Osuna and OSD Construction, Inc. is DENIED.

Having determined that the judgment in this action is vacated, the case is again pending and the Court has discretion to permit a nonparty to intervene if "(1) the proper procedures have been followed; (2) the nonparty has a direct and immediate interest in the action; (3) the intervention will not enlarge the issues in the litigation; and (4) the reasons for the intervention outweigh any opposition by the parties presently in the action." (*Reliance, supra*, 84 Cal.App.4th at p. 386.) Colony meets these requirements.

The Court does not see the first three factors as particularly controversial. The fourth factor essentially calls for a balancing of Plaintiff's and Colony's interests against potential prejudice. This prejudice analysis underlies both the motion to vacate default and the motion to intervene. Colony argues that "Plaintiff will not be prejudiced by litigating its case on the

merits as it would have anticipated doing when it filed this lawsuit.” (Motion, at p. 19.) Plaintiff’s strongest counter argument is that “the death of Mr. Osuna materially undermines the relief sought. . . . Granting the motion in these circumstances would invite confusion, procedural irregularity, and prejudice to Plaintiff.” (Opposition, at p. 7.) However, as Plaintiff notes elsewhere, “as a practical matter, Mr. Osuna’[s] testimony is no longer available to contradict Plaintiff’s allegations and proof.” (*Id.*, at p. 5.) Prejudice does not lie where Plaintiff believes its case will actually be stronger as a practical matter. Just as Defendant Osuna did not formally participate in the default prove-up hearing, he will not personally participate in any potential trial. The Court does not find that Defendant Osuna’s absence now unduly prejudices Plaintiff.

Therefore, Colony’s Motion to Intervene is GRANTED. Colony shall serve and file its Complaint in Intervention as proposed and attached as Exhibit A to this motion within 10 days of the date of the hearing.

The matter shall be set for a further Case Management Conference on November 5, 2025 at 10:00 a.m. in Department 13.

The Court will prepare the final order.

- oo0oo -

Calendar Line 8

Case Name: *Moses Veyu vs COVENANT CARE CALIFORNIA, LLC*

Case Number: 24CV448116

Plaintiff moves the Court for an Order Vacating the Joint Stipulation and Order to Stay Case Pending Arbitration pursuant to CCP §1281.98 and for an award of monetary sanctions pursuant to CCP §1281.99. Plaintiff's motion is DENIED.

Fees were due on April 28, 2025. By all accounts, JAMS had the money on April 30, 2025. Plaintiff declares that the fees were "submitted" on April 30, 2025. (Koulloukian Decl., at ¶ 9.) Plaintiff's evidence, however, shows the fees were "posted" on that date. (Koulloukian Decl., at Exh. 5.) The transition of a transaction from "pending" to "posted" does not resolve the pertinent question. Section 1281.98, subd. (a) looks to when the fees are "paid." Payment is generally effectuated when the remittance gets into the hands of the creditor. (See *Cornwell v. Bank of Am.* (1990) 224 Cal.App.3d 995, 999; *Doe v. Superior Court* (2023) 95 Cal.App.5th 346, 358 ["If ... fees are not received by the conclusion of the statutory grace period, an employee may immediately elect to pursue options for relief."].) Defendant has presented evidence that JAMS received payment on April 25, 2025. In Reply, Plaintiff criticizes the location to which Defendant delivered the fees. While JAMS indicated Defendant "may" use one of the three payment options described in its April 14, 2025 email, Defendant cannot be faulted for delivering payment by overnight mail to the address listed and as expressly described on the invoice itself. The Court finds Defendant timely paid fees.

Regardless, by enacting section 1281.98, "the Legislature sought to deter companies and employers from engaging in *strategic* nonpayment of arbitration fees; we find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect." (*Hohenshelt v. Superior Court*, 2025 Cal. LEXIS 4936, *4.) "[W]hen it appears that [the party] has acted in good faith, given some reasonable excuse for the delay, and thereafter tendered performance promptly and with reasonable diligence," equity can excuse nonperformance so long as the breaching party can and does "adequately compensate[]" the nonbreaching party for any harm caused by the delay." (*Id.*, at *23, quoting (*Hopkins v. Woodward* (1932) 216 Cal.619, 622.)

Under any interpretation of Defendant's evidence, it acted in good faith, tendered performance promptly and with reasonable diligence, and Plaintiff has suffered no harm from the alleged delay. If indeed JAMS received the fees no sooner than April 30, 2025, Defendant caused the fees to be delivered by overnight mail on April 24, 2025 (four days before they were due) and sent them to the address listed for overnight delivery on the invoice, this is a good faith mistake, inadvertence, or other excusable neglect. It is difficult to attribute any fault to Defendant under these circumstances, but if there is any, it is excusable.

The Court will prepare the final order.

- oo0oo -